

The 50–20–30 rule

- 50 per cent of income for needs and imperatives such as rent, transport and food
- 20 per cent for paying off debts and/or saving for a goal
- 30 per cent for discretionary personal spending ('wants')

Harvard University law professor, bankruptcy expert and American Senator Elizabeth Warren, who was an advisor to President Obama, is the creator of the '50–20–30' concept of budgeting. If you elect to try this measured method, you'll need yet another spreadsheet, and a similar approach to starting on the Pocket Money Savings Plan: a couple of weeks of trial and error, moving spending between categories, to get the balance just right.

Define your 50–20–30 split in weekly, fortnightly or monthly sums, depending on when you're paid. The '50' portion of your salary might be largely managed by direct debit, but you may choose to use cash for some of the '30' chunk, especially given it's allocated for personal pleasures and it is, by its very nature, the budget portion that is most easily blown.

Of course, you don't have to subscribe to grouping your expenditure into 50, 20 and 30 per cent silos; simply adjust the proportions to accommodate your changing circumstances. Be sure to review your spending regularly so you continue cutting back and tweaking your lifestyle and habits, pumping cash into your 20 per cent arsenal.

A story of share houses and Swedes

Everyone should live with a Sven at some point in their lives.

Sven was one of many housemates I had in my 20s. This jolly German and I were among four young professionals who shared for a couple of years an inner-city apartment, which was more like the green room at Eurovision for all the backpacker babes he would invite over nightly. There were always Swedish glamazons in grotty Birkenstocks lolling in our lounge room. ('Emily! Come and meet Katia, Nadia, Svetlana, Elsa, Astrid, Ebba ...')